ADDENDUM 1 to the CNIC N4 PROJECT DEVELOPMENT AND ASSESSMENT GUIDE FOR SHORE PROGRAM OBJECTIVE MEMORANDUM, FISCAL YEARS 2026-2030 (POM-26): PROJECT ASSESSMENT CRITERIA AND ASSESSMENT BRIEFS

Ref: (a) Interim National Security Strategic Guidance, March 2021
(b) CNO's NAVPLAN, 2022
(c) Transforming Naval Logistics for Great Power Competition, January 2021
(d) DON's Business Operations Plan, October 2018
(e) DoD's National Defense Strategy, October 2022
(f) OPNAVINST 3111.17B Strategic Laydown and Dispersal Plan for the Operating Forces of the U.S. Navy, 13 November 2020
(g) OPNAVINST 11010.20J, Navy Facilities Projects Instruction, 27 December 2023
(h) OPNAVINST 3000.15A Optimized Fleet Response Plan, 10 November 2014

Encl: (1) POM-26 Assessment Rating Criteria Matrix
(2) POM-26 Facilities Investment Structural Model and Weighted Priorities(Decision Lens)
(3) Detailed Cost Analysis Worksheet

Please Note: Statements must clearly justify the score provided. Merely restating or cutting and pasting the criteria is NOT sufficient.

1. Addendum 1 delineates definitions and assessment criteria to include both the Strategic Alignment and Guiding Principles and the Risk Assessment. The assessment rating criteria comply with and align to references (a)-(h) and will be used to evaluate shore infrastructure facility projects for POM-26. Each project will be evaluated on a 0-4 scale corresponding to: No Contribution (0), Marginal (1), Important (2), Very Important (3), and Critical (4). Please see Enclosure 1 for a comprehensive matrix of the evaluation criteria for each assessment component.

For POM-26, the SMIG WG will develop and submit a Five-Year Investment Plan to the SMIG Principals which separately prioritizes MILCON and FSRM centrally managed special projects at both enduring and contingency locations. To facilitate the process, all Regions shall brief **both** MILCON and FSRM Special Projects from the Project Data Sheet (PDS). Up to six pictures can be added to the PDS within the IPL module under document management to supplement the PDS material. Region priorities shall be captured in Enclosue 2, Region Priorities Template.

The Region submission should be sorted first by the Region Required FY, then by the relative priority of requirements within a given FY. Additional Region briefing guidance is outlined in Addendums 2 and 3.

All definitions for the three guiding principles and severity are included in this addendum. Urgency criteria and rulesets are also included to facilitate second pass Region Required FY designation. For POM-26, MILCON and FSRM Structural Model and Weighted Priorities (Decision Lens) will be combined into one Facilities Investment Model (Enclosure 3).

For scoring purposes, the list of Fleet Concentration Areas (FCAs) is provided below. This list includes CNIC installations or special areas within a 30 mile radius of the principal installation listed.

a. San Diego
b. National Capital Region (NCR)
c. Jacksonville
d. Hampton Roads
e. Kitsap
f. Pearl Harbor
g. Marianas
h. Yokosuka

2. Mission Alignment. Mission alignment is based on Enterprise-validated capability requirements to meet current or future CNO strategic intent. Mission alignment includes properly located, sized, configured and sequenced infrastructure to support current and future Navy force structure, laydown and operations. Infrastructure is aligned to locations where the Fleet operates/trains/maintains. Priority is given to projects at installations and locations that support Department of Defense forward assigned or allocated forces.

a. Mission alignment includes:

(1) The minimum necessary infrastructure investment to support forward-assigned and rotational forces and assure joint operational access, using austere facilities and partner nation ports as appropriate.

(2) Infrastructure-dependent mission capability gaps that are identified through planning processes. Examples include Integrated Product Support (IPS) process, Strategic Laydown and Dispersal (SLD) process and Enterprise/Provider efforts such as the Surface Master Plan and Readiness Kill Chain. Alternative courses of action (with proposed solutions) are evaluated through

Region and Installation planning processes or documents or specialized planning studies for informed decision making. Projects that propose new footprint requirements are validated within the Shore Facilities Planning System and the Installation Development Plan.

(3) Infrastructure to support stand up of new missions, new capabilities, new programs, new commands or relocation of units in accordance with reference (e) or as directed by CNO.

(4) Infrastructure to support and maintain readiness production, the Optimized Fleet Response Plan (O-FRP) in accordance with reference (d), and surge requirements. Projects include maintenance, training, Navy Working Capital Fund (NWCF), Research, Development, Test and Evaluation (RDT&E), critical utilities infrastructure, Quality of Service (QOS) and other critical infrastructure aligned to best support operational requirements and recapitalization of facilities.

(5) Aligned Maintenance with Force. Projects that provide the most effective and cost-efficient maintenance infrastructure that sustain facility oroperational readiness.

(6) Facilities directly supporting joint operations, joint command, control, communications, and specialized joint training.

(7) Projects scoped to include validated requirements for other DOD components or agencies and the Coast Guard in addition to Navy requirements.

(8) Joint projects do not include installation common base support facilities projects (roads, gates, utilities, barracks, galleys).

(9) Facilities directly supporting Combatant Command (COCOM) or Fleet Commander-directed operations, logistics and operational sustainment; command, control, and communications at DON-assigned forward operating stations; cooperative security locations and contingency locations.

b. Mission Alignment Rating Criteria. Mission alignment scores should clearly articulate the capability gap and how the facility affects the mission. Please note: The guiding principle statement in the Integrated Priority List (IPL) supplemental tab must clearly identify operation/mission of the facility. The proposed projects must meet at least one of the specified conditions to qualify for the applicable rating (Critical (4), Very Important (3), Important (2), Marginal (1) and No

Contribution (0)) and must explain how the proposed project meets the specified condition. Please refer to Enclosure 1 for specific rating criteria.

3. Readiness Support. Readiness support maximizes Navy Enterprise outputs and contributes directly to current and future fleet readiness generation. Readiness benefits can be measured through changes in force generation output, such as increased production rates or decreased time to execute depot maintenance availabilities. Readiness support may also enhance Quality of Service (QOS) for the total Navy workforce and their families by improving facilities where they work, train and live. QOS facilities complement and augment installations with surrounding community capabilities. Priority is given to projects that improve the ability and resilience to refuel, rearm, resupply, and repair.

a. Readiness Support includes:

(1) Projects that augment fleet capacity, operational readiness and increase the Navy's ability to meet man/train/ equip requirements.

(2) Projects targeted to Fleet Concentration and High Impact Areas where demand is highest and off-base support is limited or not present. The project has a significant impact on a large Navy population.

(3) Projects that correct documented life, safety, and health deficiencies.

(4) Projects that improve the quality and reliability of utility services. This includes the ability to restore temporary service in the event of an outage, as well as how frequently such outages occur. An outage can be either complete loss or degradation of the utility (e.g. power condition could damage equipment) so it cannot be utilized for its intended purpose.

(5) Infrastructure to support must-house personnel(e.g. permanent party E1-E4<4 years, locations with no off-base housing, initial accession students) and non must-house (e.g. permanent party E4>4 years and above, NGIS, eligible personnel at locations with off-base housing options) populations.

b. Project documentation. Must state the deficiencies that will be eliminated and what the facility condition, configuration and/or capacity improvement will be when completed.

c. Pavement Condition Index (PCI) calculations. "Actual" refers to current year. Regions shall provide date of last survey during Region briefs.

d. Readiness Support Rating Criteria. Proposed capital investments must meet at least one of the specified conditions to qualify for the applicable rating (Critical (4), Very Important (3), Important (2), Marginal (1) and No Contribution (0)). Please refer to Enclosure 1 for specific rating criteria.

4. Operational Cost. Operational Cost focuses on delivering required capabilities at the lowest life-cycle cost, improving the sufficiency of substandard infrastructure and eliminating excess. Operational cost improves the effectiveness of the Navy's shore infrastructure and includes operational process improvement, energy savings, consolidation, conversion, footprint reduction, manpower reductions and Base Operating Support (BOS). Infrastructure projects must capture and quantify savings that are a part of the Navy's total ownership cost.

a. Operational Cost includes:

(1) Projects resulting in significant cost savings. Cost savings must be balanced against the life-cycle cost of the proposed infrastructure to ensure the total ownership cost to the Navy is not increased. Cost savings shall be documented and supported by a **detailed cost analysis**. A detailed cost analysis worksheet template is provided in Enclosure 4.

(2) Projects reducing energy consumption.

(3) Projects eliminating the need to procure or sustain temporary facilities and provide shore solutions at a lower cost than leasing.

(4) Projects reducing footprint and resulting in sustainment and BOS savings.

(5) Projects that create opportunities to convert spaces, consolidate functions and demolish vacated facilities within existing external footprint.

b. Operational Cost Rating Criteria. Cost savings and payback must be justified with definable criteria to achieve the appropriate score. Proposed capital investments must meet the specified conditions to qualify for the applicable rating (Critical (4), Very Important (3), Important (2), Marginal (1) and No Contribution (0)). For Special Projects, backlog should

not be included as a cost savings. Please refer to Enclosure 1 for specific rating criteria.

5. Severity. Severity indicates the likelihood of failure and impact of failure on mission readiness if the project is not executed.

a. Severity includes:

(1) Gaps in infrastructure capability that compromises mission readiness, requirements or capabilities.

(2) Antiterrorism/Force Protection risks.

(3) Threats to life, safety, health or the environment.

b. Severity. The proposed projects must meet at least one of the specified conditions to qualify for the applicable rating (Critical (4), Very Important (3), Important (2), Marginal (1) and No Contribution (0)) and must explain how the proposed project meets the specified condition. Please refer to Enclosure 1 for specific rating criteria.

6. Urgency. Urgency is based on the time by which a project must be executed in order to maintain or obtain mission readiness. New BY and BY+1 requirements for POM-26 consideration require urgent and compelling justification. Minimally, a validated Mission Need Date or similar driver will be required.

a. Urgency includes:

(1) Projects that support mission growth or are required to meet new platform Initial Operating Capability, Homeport Shifts or Strategic Laydown Required dates.

(2) Infrastructure supporting some other timing driver (e.g. NOV, host nation agreements, SOFA) where a timeline to rectify has been agreed to with the appropriate agency.

(3) Projects that correct facilities that are already failing.

(4) Projects that support additional timing drivers (e.g. certifications) or sequencing.

b. Urgency/Requirement Year Designation. While Urgency is no longer part of the Risk Assessment criteria and Decision Lens model, it will be used in a second pass process to determine requirement year in the POM-26 Investment Plan. The following

conditions - BY, BY+1, BY+2, BY+3, and BY+4 - will apply during the second pass urgency designation process. A new Region Required FY field has been added to the IPL module to record the second pass urgency review.

9. CNIC point of contact regarding this matter is CDR Cody Keesee, Shore Governance Program Manager, DSN 288-4409, commercial (202) 433-4409, or e-mail cody.w.keesee.mil@us.navy.mil.

	Mission Alignment	Readiness Support
Definition	**Mission alignment is based on Enterprise-validated capability requirements needed to meet current or future CNO strategic intent. Mission Alignment includes properly located, sized, configured and sequenced infrastructure to support Navy current and future force structure, laydown, and operations. Infrastructure is aligned to where the Fleet operates/trains/maintains. Priority is given to projects at installations and locations that support Department of Defense forward assigned or allocated forces.**	**Readiness support maximizes Navy Enterprise outputs and contributes directly to current and future fleet readiness generation. Readiness benefits can be measured through changes in force generation output, such as increased production rates or decreased time to execute depot maintenance availabilities. Readiness support may also enhance Quality of Service (QOS) for the total Navy workforce and their families by improving facilities where they work, train and live. QOS facilities complement and augment installations with surrounding community capabilities. Priority is given to projects that improve the ability and resilience to refuel, rearm, resupply, and repair.**
Critical (4)	**Meets one of the following:** - Significantly and directly supports National Security requirements or SECDEF/SECNAV/CNO guidance, directed global posture, a basing decision or, approved new, realigned or increased mission(s) - Contributes to closing an infrastructure "red" or critical capability gap in forward areas as identified in an approved Enterprise or Theater planning document - Significantly and directly supports documented Joint or Combatant Commander Mission capability requirement when Navy is the executive agent - Project strengthens resilience of critical, unique assets and their supporting infrastructure	**Meets one of the following:** - Fully meets BFR with a current capacity rating of 50% or less - Demonstrated 50% improvement to man/train/equip requirements - Eliminates documented serious life safety hazards (Risk Assessment Code (RAC) I) - Improves the quality and reliability of utility services where both the time required to restore temporary service exceeds 8 hours for an electrical outage or 24 hours for a civil-mechanical outage and the outage rate is significantly above industry standard - UH project performs critical construction or repairs in support of must-house population in a failing facility (Condition Rating less than 60) -Airfield Pavement project eliminates a failed, very poor, or poor actual (vs. projected) PCI rating (≤55) for a critical facility (MDI ≥85 or completed. MCI Mission Type Designator = Mission Critical) -Project eliminates a failed Condition Rating (< 60) for a critical facility (MDI ≥95 or completed. MCI Mission Type Designator = Mission Critical)
Very Important (3)	**Meets one of the following:** - Moderately and directly supports National Security requirements or SECDEF/SECNAV/CNO guidance - Contributes to closing an infrastructure "red" or critical capability gap as identified in an approved Enterprise or Theater planning document - Moderately and directly supports documented Joint or Combatant Commander Mission capability requirement when Navy is the executive agent - Project strengthens resilience of critical assets and their supporting infrastructure	**Meets one of the following:** - Fully meets BFR with a current capacity rating of 70% or less - Demonstrated 30% improvement to man/train/equip requirements - Eliminates documented life safety risks (RAC II) - Supports Navy QOS in a forward operating area with no off-base alternative - Improves the quality and reliability of utility services where both the time required to restore temporary service persists 4 to 8 hours for an electrical outage or 8 to 24 hours for a civil-mechanical outage and the outage rate is slightly above industry standard - UH project performs critical construction or repairs in support of must-house population in a poor facility (Condition Rating 60-79) or in support of non-must house population in failing facility -Airfield Pavement project eliminates a failed, very poor, or poor actual (vs. projected) PCI rating (≤55) for a significant facility (MDI ≥85 or completed. MCI Mission Type Designator = Mission Essential) -Project eliminates a poor Condition Rating (60-79) for a critical facility (MDI ≥95 or completed MCI Mission Type Designator = Mission Critical) or a failed condition rating (< 60) for a significant facility (MDI ≥85 or completed. MCI Mission Type Designator = Mission Essential)
Important (2)	**Meets one of the following:** - Indirectly supports National Security requirements or SECDEF/SECNAV/CNO guidance - Contributes to closing "yellow" capability gap as identified in an approved Enterprise or Theater planning document - Indirectly supports documented Joint or Combatant Commander Mission capability requirement when Navy is the executive agent	**Meets one of the following:** - Partially meets BFR with a current capacity rating of 50% or less. - Demonstrated 10% improvement to man/train/equip requirements. - Eliminates documented life safety risks (RAC III) - Supports Navy QOS in a Fleet Concentration area with no off-base alternative - Improves the quality and reliability of utility services where both the time required to restore temporary service lasts 1 to 4 hours for an electrical outage or lasts 4 to 8 hours for a civil-mechanical outage and the outage rate is above industry standard. -Airfield Pavement project eliminates a failed, very poor, or poor actual (vs. projected) PCI rating (≤55) for a relevant facility (MDI ≥55 or completed MCI Mission Type Designator = Mission Support) -Project eliminates a fair Condition Rating (80-89) for a critical/significant facility (MDI ≥70 or completed. MCI Mission Type Designator = Mission Critical or Mission Essential) or a poor/failed condition rating (< 79) for a relevant facility (MDI ≥55 or completed. MCI Mission Type Designator = Mission Essential)
Marginal (1)	**Meets one of the following:** - Aligns with CNO guidance and mission, but provides a small contribution to closing capability gap - Supports occasional short-term transient Joint Operations	**Meets one of the following:** - Partially meets BFR with a current capacity rating of 70% or less. - Corrects documented safety deficiencies - Supports workplace QOS enhancement - Improves the quality and reliability of utility services where the time required to restore temporary service lasts 5 minutes to 1 hour for an electrical outage or lasts 1 to 4 hours for a civil-mechanical outage
No Contribution (0)	Meets none of the above criteria	No improvements to fleet readiness

	Operational Cost	Severity
Definition	**Operational cost strives to deliver required capabilities at the lowest life-cycle cost, improve the sufficiency of substandard infrastructure and eliminate excess. Operational cost improves the effectiveness of the Navy's shore infrastructure and includes operational process improvement, energy savings, consolidation, conversion, footprint reduction, manpower reductions and Base Operating Support (BOS). Infrastructure projects must capture and quantify savings that are a part of the Navy's total ownership cost.**	**Severity indicates the likelihood of failure and impact of failure on mission readiness if the project is not executed.**
Critical (4)	**Meets one of the following:** - Documented detailed cost analysis showing operational cost savings valued at a payback equal to 5 years or less.	**Meets one of the following:** - Primary mission accomplished with extreme workarounds. Documented loss of mission capability, readiness, or asset. - Severe threat to life risk or the Environment (consent agreement in place) - Cannot meet criteria for legal, regulatory, policy requirement and there is no waiver opportunity. - AT/FP risk high for critical, unique Fleet assets without other mitigation options
Very Important (3)	**Meets one of the following:** - Documented detailed cost analysis showing operational cost savings valued at a payback greater than 5 years, but less than or equal to 12 years (5-10 years for Special Projects)	**Meets one of the following:** - Primary mission accomplished with significant workarounds. Documented degraded mission capability or unit readiness. - Serious injury or damage risk to life or the Environment (consent order issued) - Requires unrealistic work around to maintain warfighter capability or asset. - AT/FP risk high for important primary gathering of facilities
Important (2)	**Meets one of the following:** - Documented detailed cost analysis showing operational cost savings valued at a payback greater than 12 years, but less than or equal to 18 years (10-15 years for Special Projects)	**Meets one of the following:** - Primary mission accomplished with moderate workarounds. - Moderate injury or damage risk to life or Environment (NOV issued) - Status quo requires inefficient work around to maintain capability. - AT/FP risk moderate for primary gathering facilities
Marginal (1)	**Meets one of the following:** - Documented detailed cost analysis showing operational cost savings valued at a payback greater than 18, but equal to or less than 24 years	**Meets one of the following:** - Minor impact on mission or program execution. Little impact to mission capability or unit readiness. - Improves operational effectiveness. - Minimal injury or damage risk to life or the Environment (NOV likely) - AT/FP risk moderate for important facilities
No Contribution (0)	**Meets one of the following**: - Meets none of the above criteria or has unsupported savings claims	No measurable impact on mission or program execution. Able to sustain workload requirements; No impact to mission capability or unit readiness. AT/FP risk low for primary gathering facilities. No injury or damage risk.

Please refer to 11x17 excel file for printable version

POM26 Facilities Investment Structural Model and Weighted Priorities (Decision Lens)

POM-26 Final (Combined Model)		
First Level	Second Level	Weight Within Level (%)
Strategic Alignment/Guiding Principle		**62.42**
	Mission Alignment	63.63
	Readiness Support	28.24
	Operational Cost	8.13
Installation Figure of Merit		**8.49**
	Capacity	48.51
	Condition	34.36
	Configuration	17.13
Risk Assessment		**29.09**
	Severity	100.00

POM-26 Detailed Cost Savings Worksheet

Project Details

No.: _____ Title: _____ CWE ($K): _____

Prepared by: _____ Command: _____
(Lead Proponent)

Prepared by: _____ Command: _____
(Region/Installation)

Summary of Savings ($K)

Total Annual Savings (TAS): _____ **Total One-time Savings (TOS):** _____

Note: Savings must be actual costs incurred vs. cost avoidance of a future expense.

Amortized TOS: _____ = _____ / 32 *(Note: 32 years is standard; change by exception)*
TOS Years

Payback: _____ years Payback = CWE / (TAS + Amortized TOS)

Detailed Breakdown of Annual Savings ($K)

Productivity Savings ($K): _____ per year _____ one-time

Assumptions:
A.
B.

Detailed calculations:
A.
B.

Utilities Savings ($K): _____ per year _____ one-time

Assumptions:
A.
B.

Detailed calculations:
A.
B.

Facility Repair Savings ($K): _____ per year _____ one-time

Assumptions:
A.
B.

Detailed calculations:
A.
B.

Lease/Contract Savings ($K): _____ per year _____ one-time

Assumptions:
A.
B.

Detailed calculations:
A.
B.

Manpower Savings ($K): _____ per year _____ one-time

Assumptions:
A.
B.

Detailed calculations:
A.
B.

Other Savings ($K): _____ per year _____ one-time

Assumptions:
A.
B.

Detailed calculations:
A.
B.

Enclosure (3)

Please refer to Excel files for usable template